

Customers aren't spending less: new cards just haven't started yet

+18%

Total spend is growing

₹4,100 Cr → ₹4,830 Cr. Active cards grew faster (+40%), so the per-card average fell 16%.

69%

of the drop is dilution

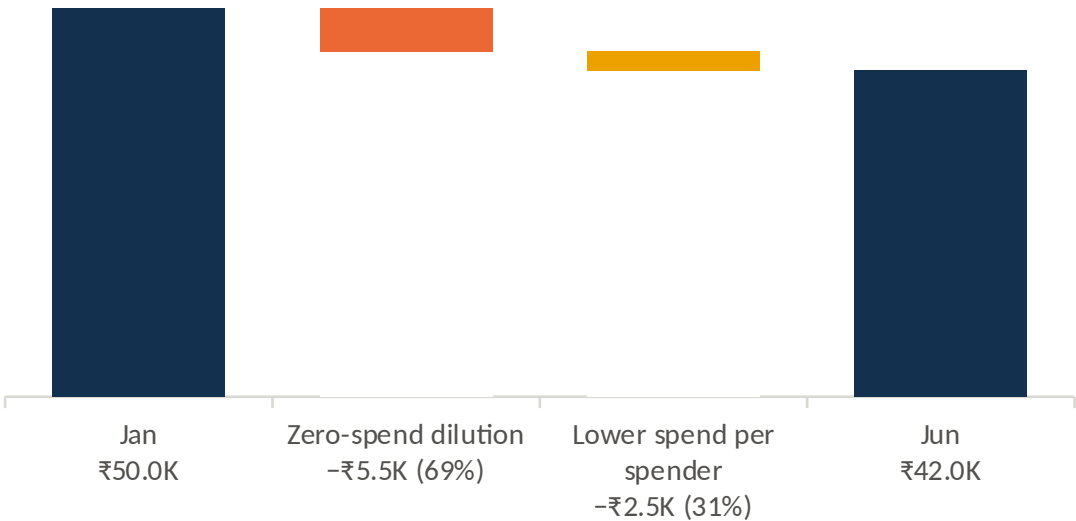
Zero-spend cards rose from 12% to 22% of the base. These cards count as active but spend nothing.

₹0

median spend of new cards

Cards under 3 months old are 28% of the base but only 13% of spend. Spend rises steadily as cards age.

Spend per active card, Jan → Jun (₹)



The real signal to watch

- Spend per spending card is down 5%, and all of it happened in May and June.
- Travel (₹8,500 average ticket) fell from 20% to 11% of the mix. This could be seasonal or new-customer mix; we need last year's data to tell.

What we recommend

- 1 90-day activation programme** First-transaction offer, nudges in the first 30 days, activation targets by acquisition channel. Each 1 pt cut in the zero-spend share adds ~₹540 per card.
- 2 Fix the KPI** Report spend per spending card by card-age cohort next to the blended average.
- 3 Watch, don't react yet** Track spend per spender and travel share monthly against last year before running any travel campaign.

The decline is mostly mechanical, and new-card activation is the biggest driver

Q1 Is the spend decline real or mechanical?

Mostly mechanical (~70%), with a smaller real part that began in May.

- Spend per active card fell 16% (₹50.0K → ₹42.0K), while total spend rose 18% and active cards rose 40%.
- KPI = activation rate × spend per spending card. Splitting the ₹8,000 drop: -₹5,533 (69%) from the zero-spend share rising 12% → 22%; -₹2,467 (31%) from lower spend per spending card.
- Spend per spending card was flat at ~₹57K Jan–Apr and fell ~6% in May–Jun. That's the real part, and it coincides with travel falling from 20% to 11% of the mix.

Q2 The single biggest driver

Fast new-card acquisition, with cards slow to start spending.

- Cards under 3 months old are 28% of the base but only 13% of spend, with a median spend of ₹0.
- So at least 161K new cards spent nothing in June: at least 64% of all zero-spend cards, and more than the whole Jan → Jun rise (+155K).
- Spend climbs with card age (₹2.1K → ₹3.9K → ₹5.2K → ₹6.3K). New cards haven't stopped spending; they haven't started yet.

Q3 CEO summary (detail on page 1)

Growth is showing up as a decline because the KPI counts cards before they activate.

- Activation programme for the first 90 days: each 1-pt cut in the zero-spend share adds ~₹540 to spend per active card.
- Report spend per spending card by card-age cohort next to the blended average.
- Watch the May–Jun softening and travel share against last year before acting on it.
- Ask: cohort-level monthly spend and one agreed definition of an "active" card.

Data note: the tables don't reconcile. June spend per card is ₹42K in Table 1, ₹4.5K in Table 3 and at least ₹5.75K in Table 2, so units or the "active" definition differ. All conclusions use relative measures (shares, % changes) and hold either way.